NPTEL Online Certification Courses

Indian Institute of Technology Kharagpur

Foundation Course in Managerial Economics

Assignment- 2

TYPE OF QUESTION: MCQ

Number of questions: 10 **Total mark: 10 X 1 = 10**

QUESTION 1:

Price elasticity will be higher when close substitutes are available.

a. True
b. False

Correct Answer: a
Solution: When there are close substitutes, buyers can easily switch if price rises.

QUESTION 2:

Price elasticity will be higher in

a. Short run
b. Medium run
c. Long run
d. Depends on product.

Correct Answer: c
Solution: Price elasticity will be higher in long run as buyers get time to adjust to price changes

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QUESTION 3:

Price elasticity of demand depends on

a. The extent to which close substitutes are available.
b. Whether the good is necessity or luxury.
c. Time horizon.
d. All of the above.

Correct Answer: d
Solution: Price elasticity of demand depends on close substitute, whether the good is necessity or luxury and time horizon-elasticity will be higher in long run.

QUESTION 4:

The example of inelastic demand is

a. Mountain Dew
b. Restaurant meals
c. Medicines
d. Vacation plans

Correct Answer: c

Solution: Consumers cannot be too price sensitive with medicines which is necessary. The others have substitutes or are not necessary

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QUESTION 5:

Using the midpoint method, calculate the price elasticity of demand for ice cream cones in the market if P_1 = ₹ *70*, $Q^d{}_1$ = 5000 and P_2 = ₹ 90, $Q^d{}_2$ = 3000

a. 3
b. 2
c. 1
d. 0.5

Correct Answer: b

Solution: By applying mid-point method, price elasticity of demand, $e=((Q_2 - Q_1)/ (Q_2 + Q_1)/2)/((P_2-P_1)/(P_2+P_1)/2)$.

QUESTION 6:

Consumer's price sensitivity will be extreme, when elasticity is

a. infinity
b. zero
c. 1
d. Less than one

Correct Answer: a

Solution: price sensitivity will be extreme for perfectly elastic demand.

QUESTION 7:

If the supply curve of rice per kg is defined by QS=1200+60P, and demand curve is defined by QD=1800-40P, the price elasticity of supply is very close to

a. 0.23
b. 0.15
c. 0.29
d. 1.02

Correct Answer: a

Solution: By applying law demand and supply, solve the equation $Q_S = Q_D$ to get the equilibrium market price P and Q.

Then find $(\Delta Q_S/\Delta P)$.

Price elasticity of demand= $(P/ Q) \times (\Delta Q_S/\Delta P)$

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QUESTION 9:

If the quantity of coal supply is measured in pounds instead of kilogram, the demand for coal becomes

a. More elastic

b. Less elastic
c. Depends on quality of wheat
d. Same as before

Correct Answer: d

Solution: Demand and elasticity does not depend on the unit of measurement.

QUESTION 10:

In case of complementary goods, which of the following is generally appropriate?

a. Cross price elasticity of demand < 0
b. Cross price elasticity of demand > 0
c. Cross price elasticity of demand = 0
d. Cross price elasticity of demand varies from substitute to substitute

Correct Answer: a

Solution: Computer and software are complementary products. Increase in price of computer reduces the demand for software.

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